

Selling Low, Buying High

What about the argument that companies can put spare cash to better use by buying back their own shares? When a company repurchases some of its stock, that reduces the number of its shares outstanding. Even if its net income stays flat, the company's earnings per share will rise, since its total earnings will be spread across fewer shares. That, in turn, should lift the stock price. Better yet, unlike a dividend, a buyback is tax-free to investors who don't sell their shares.¹⁵ Thus it increases the value of their stock without raising their tax bill. And if the shares are cheap, then spending spare cash to repurchase them is an excellent use of the company's capital.¹⁶

All this is true in theory. Unfortunately, in the real world, stock buybacks have come to serve a purpose that can only be described as sinister. Now that grants of stock options have become such a large part of executive compensation, many companies—especially in high-tech industries—must issue hundreds of millions of shares to give to the managers who exercise those stock options.¹⁷ But that would jack up the number of shares outstanding and shrink earnings per share. To counteract that dilution, the companies must turn right back around and repurchase millions of shares in the open market. By 2000, companies were spending an astounding 41.8% of their total net income to repurchase their own shares—up from 4.8% in 1980.¹⁸

Let's look at Oracle Corp., the software giant. Between June 1, 1999, and May 31, 2000, Oracle issued 101 million shares of common stock to its senior executives and another 26 million to employees at a cost of \$484 million. Meanwhile, to keep the exercise of earlier stock options from diluting its earnings per share, Oracle spent \$5.3 billion—or *52% of its total revenues that year*—to buy back 290.7 million shares of stock. Oracle issued the stock to insiders at an average price of \$3.53 per share and repurchased it at an average price of \$18.26. Sell low, buy high: Is this any way to “enhance” shareholder value?¹⁹

By 2002, Oracle's stock had fallen to less than half its peak in 2000. Now that its shares were cheaper, did Oracle hasten to buy back more stock? Between June 1, 2001, and May 31, 2002, Oracle *cut* its repurchases